

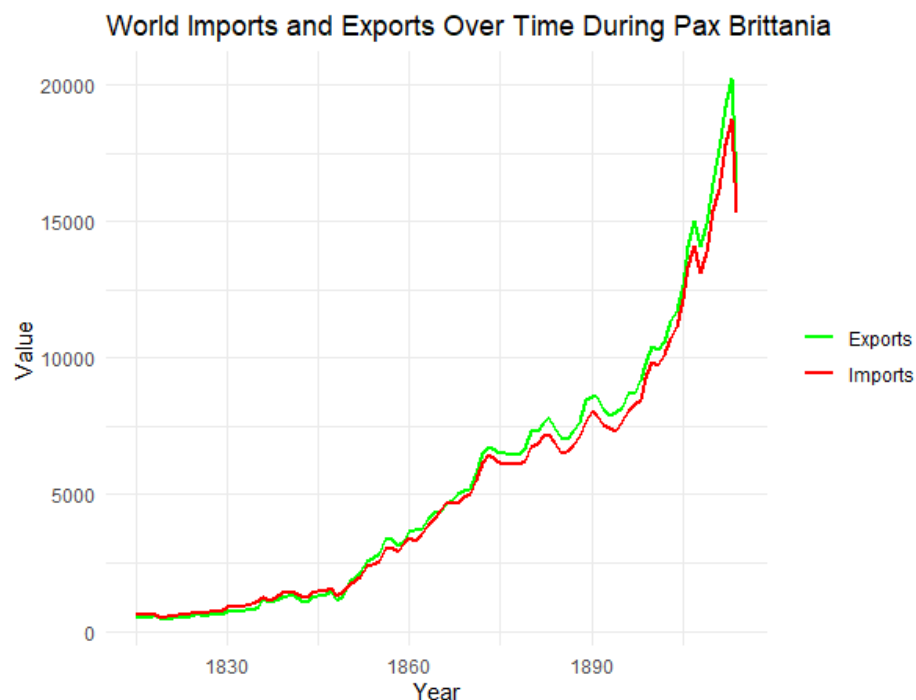
Assignment 6

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Pax Brittanica

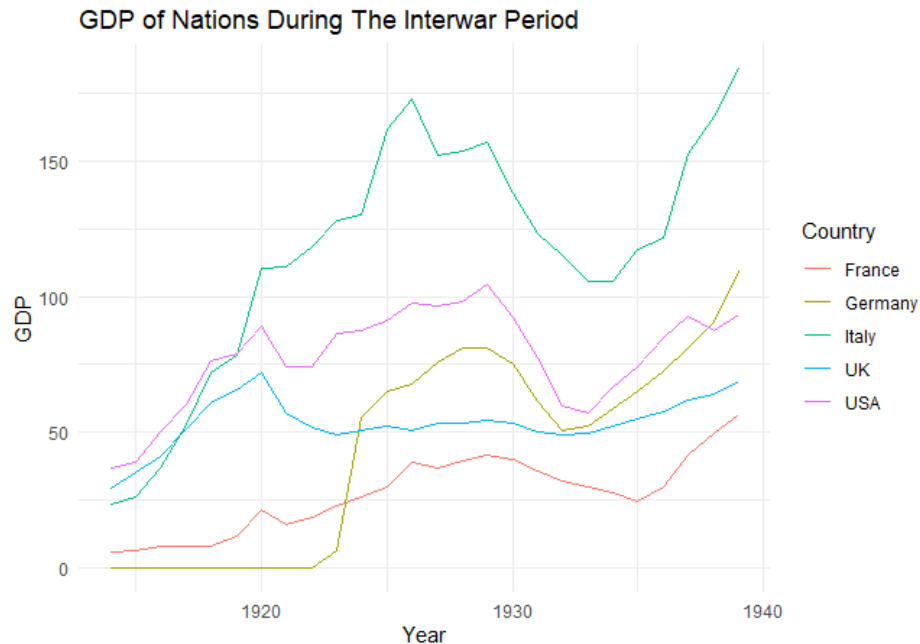
The period following the Napoleonic Wars is known as the Pax Britannica. Before the advent of the Pax Britannica, the European powers operated under mercantilism. Dynastic wars were fueled by geopolitical and diplomatic concerns, with economic relations used for military advantage. Mercantilism enriched monarchs who used accumulated wealth to build military might. The end of the Napoleonic wars 1815 ushered in a century of relative peace among the world, allowing for significant economic changes. Notably, the victory of Britain in these wars led to an era of British Supremacy in the years to follow. The Industrial Revolution in Britain introduced new technological innovations that revolutionized production. As British industrialists embraced new machinery and organizational structures, the economic landscape shifted. Factories and advancements in transportation technologies became more relevant, as the importance of mercantilism declined. British manufacturers, seeking to lower costs and expand markets, advocated for the elimination of trade barriers and the adoption of free trade policies. As Britain discarded mercantilism, other nations faced choices about joining the global market. In the mid 1800's, France and Germany joined Britain in embracing free trade, creating a trend of liberalization. Over the century, trade among advanced countries grew significantly, facilitated by advancements in transportation and communication technologies. The gold standard became a powerful institution of global capitalism in the 19th century. Most major industrial countries joined the gold standard, creating a common global currency. This stability facilitated world trade, lending, investment, migration, and payments, linking world markets more tightly. Despite the economic successes of the Pax Britannica, challenges arose. The late 19th century saw the rise of protectionism in response to falling agricultural prices and economic depression. Dissatisfaction with free trade and the gold standard emerged, with some viewing them as symbols of an unfavorable economic order. The era of Pax Britannica marked a significant shift in the international political economy, characterized by the transition from mercantilism to free trade and the establishment of the gold standard. While this period facilitated global economic integration and relative peace, challenges and discontent also emerged. The dynamics of the 19th-century international political economy laid the groundwork for the complex geopolitical landscape of the 20th century (Frieden).



The figure above depicts a positive linear relationship between the values of imports and exports during the Pax Britannica. The green line denotes exports, while the red line represents imports; however, these two variables have a nearly one-to-one correspondence. The x-axis reflects the year, while the y-axis denotes the values of imports and exports. It is noteworthy that the dataset does not specify the unit or currency utilized. The data utilized for this graph was sourced from the Federico-Tena World Trade Historical Database. The graph reveals a consistent rise in trade from 1815 to 1860, aligning with the persistent mercantile policies prevalent in Britain, stemming from its colonial legacy. Subsequently, between 1860 and 1890, a more pronounced surge in trade is shown, coinciding with the diffusion of industrialization across Europe and the concurrent implementation of free trade policies in Britain. Post-1890, a marked escalation in global trade becomes apparent, which can be attributed, in part, to the widespread adoption of the Gold Standard, fostering increased prosperity and collaboration among nations.

The Interwar Period

The Interwar Period spanned from 1914 to 1938. Pivotal to this era was the Treaty of Versailles, which imposed harsh reparations upon Germany, contributing significantly to economic turmoil within the nation. The most important event of the Interwar Period was undeniably the Great Depression of the 1930s. The collapse of financial markets, the surge in unemployment rates, and the drastic contraction of international trade delineated the profound economic repercussions stemming from World War I and the prevailing challenges of the time. Faced with the depreciation of their trade partners' currencies and motivated by a desire to maintain regional influence, numerous nations adopted protectionist economic policies. This manifested through the implementation of tariff barriers and the embracement of economic nationalism, impeding the free flow of goods and exacerbating the extant economic challenges. Moreover, the departure from the gold standard was a prevalent trend, with countries resorting to currency devaluations as a strategy to invigorate their respective economies (Gowa).



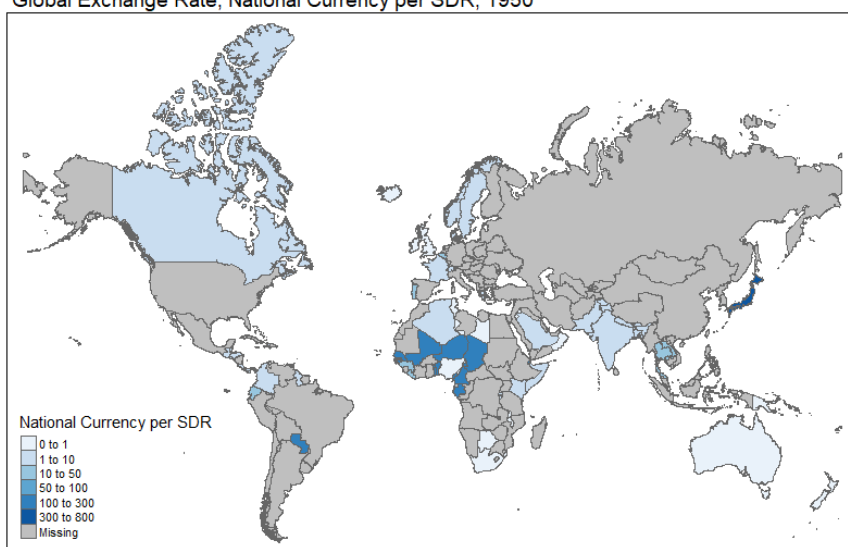
This figure shows the comparative Gross Domestic Product (GDP) of nations during the Interwar Period, using nominal GDP in local currency on the y-axis and years on the x-axis. The economic trajectories of each country are represented by colored lines, and the data source used is the MacroHistory Database. The selection of nations featured in this analysis—France, Germany, Italy, the United Kingdom, and the United States—is deliberate, as these countries bore the most profound repercussions of World War I's conclusion and the Great Depression. In the case of France, we can see a gradual incline over the years with a noteworthy dip. Germany, conversely, exhibits a period of GDP stagnation until approximately 1923, followed by a marked upswing. However, a subsequent decline is seen around 1935. Italy sees a sharp rise in GDP from 1920 to 1925, primarily attributed to significant industrial expansion during this era. However, the surge is succeeded by a decline, owing to substantial national debt, lasting until the end of the Great Depression. The United Kingdom's GDP trend closely mirrors that of France, attributable to industrializing at similar times, albeit with the UK having industrialized earlier. The United States is similar to the UK, but features a larger post-World War I GDP due to substantial arms sales to European nations. However, a considerable downturn is seen around 1930. There are several commonalities within the data. Initially, a notable spike in GDP is observable circa 1920, attributed to the Roaring Twenties—an era of rapid economic growth primarily experienced in the United States, though influencing global economic trends. However, a pervasive dip is seen around 1935, coinciding with the onset of the Great Depression, which caused economic downturn worldwide. Post-1935, there is a trend of recovery across all nations as they deal with the aftermath of the Great Depression.

The Bretton Woods System

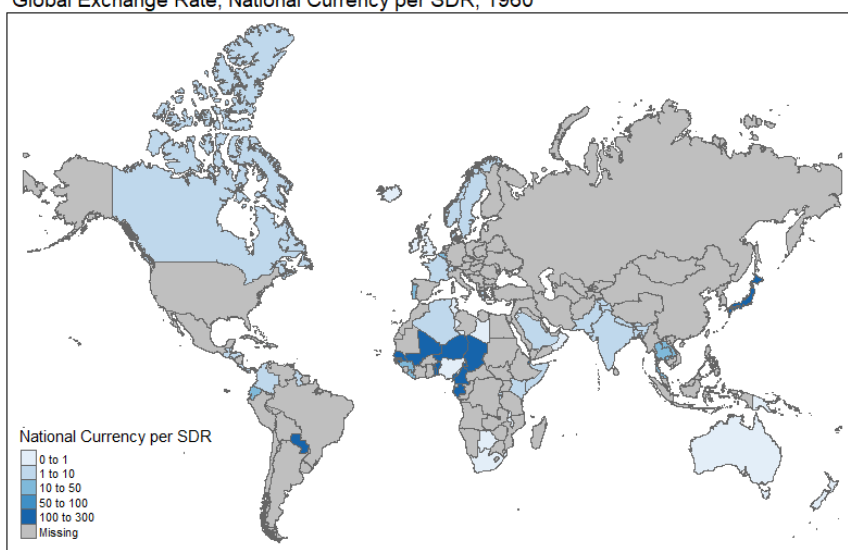
The Bretton Woods era, spanning from 1941 to 1971, was marked by the development of international financial institutions. The 1944 Bretton Woods Conference laid the groundwork for a new global economic order, giving rise to institutions like the International Monetary Fund (IMF) and the World Bank. During this period, fixed exchange rates tied to the U.S. dollar were implemented, offering stability and predictability in global trade and finance. However, the fixed exchange rate system faced challenges as adjustments became imperative due to shifts in trade balances and economic conditions among member nations. The Bretton Woods Conference led to the establishment of two critical institutions for managing and regulating the international monetary and financial system: the IMF and the World Bank. The IMF's role was to address short-term imbalances in the global economy by providing financial assistance to member countries facing balance of payments crises, promoting exchange rate stability and facilitating economic adjustments.

Meanwhile, the World Bank focused on long-term development projects, particularly in infrastructure and reconstruction, aiming to foster economic development and poverty reduction through financial and technical assistance. Some nations resisted this shift, opting for an import-substitution model of industrialization. However, the limited success of these models resulted in high debt, prompting reliance on the IMF for financial support. These institutions played a pivotal role in shaping the international political economy during the Bretton Woods era, fostering cooperation and providing mechanisms for crisis management and development. Furthermore, this period witnessed economic growth and stability, particularly in Western countries. The framework of fixed exchange rates contributed to the recovery of war-torn economies, fostering increased international trade and investment, and ushering in a period of economic expansion and prosperity. Despite its achievements, the Bretton Woods system faced challenges that ultimately led to its dissolution. The fixed exchange rate system strained as economic conditions diverged among member countries. The United States, as the center of the system, encountered difficulties maintaining the gold convertibility of the dollar, exacerbated by escalating Cold War expenses. In 1973, the Bretton Woods system was fully dissolved (IMF).

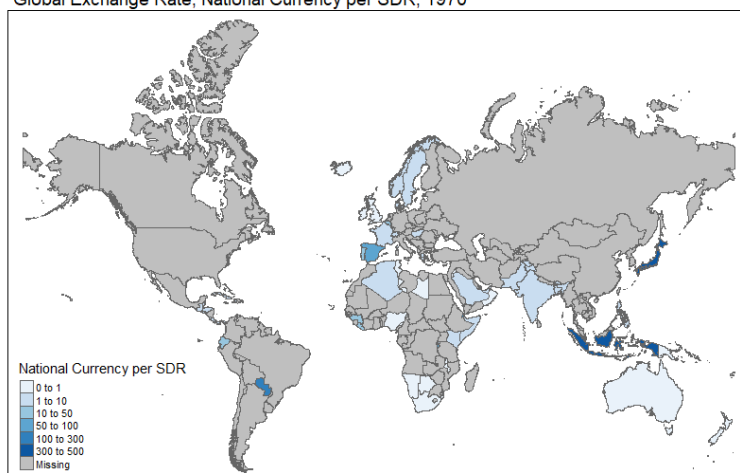
Global Exchange Rate, National Currency per SDR, 1950



Global Exchange Rate, National Currency per SDR, 1960



Global Exchange Rate, National Currency per SDR, 1970

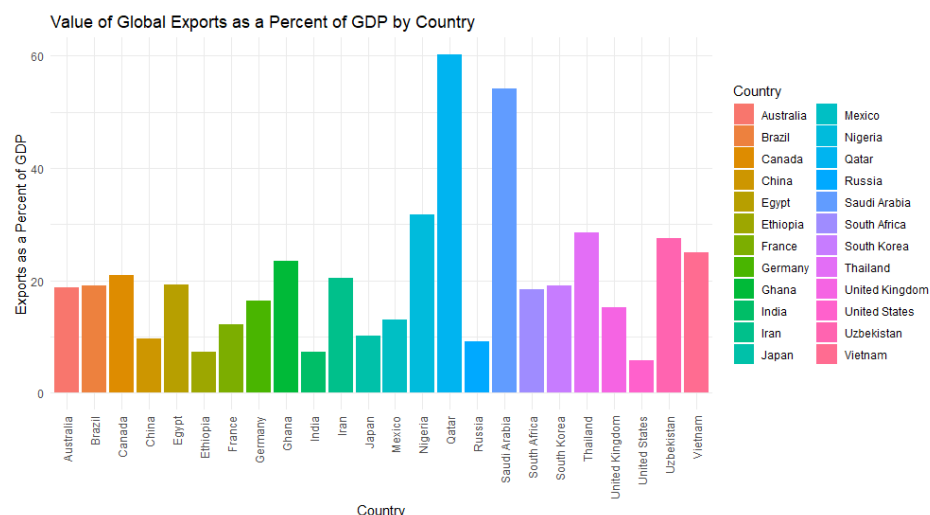


The three maps above show the global exchange rate in national currency as a share of Special Drawing Rights (SDR), an international reserve utilized by the International Monetary Fund (IMF). SDRs are exclusively allocated to public entities such as central banks, and the IMF holds sole discretion over their distribution. In this context, SDR serves as a unit of measurement for the global exchange rate of nations. A higher exchange rate, as illustrated in the maps, implies more affordability in imports and contributes to lower inflation rates. The dataset, sourced from Fouquin and Hugot (CEPII 2016), exhibits some interesting findings, despite the presence of apparent missing values. Observing the exchange rates in Central and Northern African countries, as well as Japan and Paraguay, reveals interesting patterns. The elevated exchange rates in many African nations may be linked to assistance from the IMF and World Bank, coupled with ongoing industrialization efforts. In the case of Japan, a substantial expansion of exports appears to be the driving force behind its high exchange rate. Meanwhile, Paraguay exhibits a modest yet consistent increase in GDP during the specified period, though no explicit reason for its comparatively high exchange rate is apparent.

Post-Bretton Woods and Globalization

The post-Bretton Woods era is characterized by a shift towards a more open and interconnected global economy. In contrast to the fixed exchange rates and capital controls of the Bretton Woods system, this period experienced increased international trade, investment, and financial flows. Countries actively dismantled trade barriers and adopted liberal economic policies, fostering an environment conducive to cross-border transactions. Multinational corporations played a pivotal role, expanding their global operations and contributing significantly to the integration of national economies. The Bretton Woods institutions, specifically the International Monetary Fund (IMF) and the World Bank, continued to be central post-Bretton Woods. However, their functions evolved to address the dynamic needs of the global economy. The IMF, in particular, transitioned from a focus on fixed exchange rates to providing financial assistance for countries grappling with balance-of-payments crises, reflecting the need for a more adaptable approach capable of accommodating diverse economic conditions. In tandem with the liberalization of capital markets, financial institutions gained unprecedented influence. This era witnessed the proliferation of complex financial instruments, the expansion of derivatives markets, and the ascent of speculative activities. Financial markets became intricately interconnected, rendering the global economy vulnerable to financial crises that could swiftly propagate across borders, exemplified by the 2008 financial crisis. The emergence of the internet and advancements in communication technology played a pivotal role in facilitating instantaneous information exchange, accelerating the pace of globalization. This fueled the growth of global supply chains, facilitating the seamless movement of goods, services, and capital across the world. The heightened transaction speed also intensified the volatility and interconnected nature of financial markets. While the era of globalization ushered in economic growth and prosperity, it concurrently engendered widening global inequalities. The benefits of globalization were not uniformly distributed, posing challenges for many developing countries in coping with the demands of an open and competitive global economy. Issues such as income inequality, social

unrest, and concerns about job displacement emerged as focal points in discussions regarding the impact of globalization on diverse societies.



The bar chart above offers insights into globalization by depicting the average global exports as a percentage of GDP for select countries. The countries on the x-axis serve as regional representatives due to their global significance, and the data is from the MacroHistory Database. Qatar and Saudi Arabia have the highest percentage of exports, primarily driven by the substantial role of oil exports in their economies. In contrast, the United States exhibits a relatively lower percentage of exports, a reflection of the international strength of the American dollar. Russia, too, records a lower percentage of exports, which could be influenced by its semi-command economy's inclination towards protectionist measures. The position of Japan, with a seemingly low percentage of exports, may raise eyebrows given its historical reliance on exports for economic growth. However, recent years have witnessed a decline in Japan's competitiveness, attributed to the weakened Yen, impacting its export performance.

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